Parasites? The dealmakers who turn farmland into homes

The Claim:

"The price of land paid by housebuilders is massively inflated once it has planning consent – therefore we should tax this more."

1. **This might not be as true as we would like**
2. **If we get it wrong, we can end up with no homes being built**

Firstly, we need to understand how land comes to be built on:

- Landowners, such as farmers, own a lot of the land we might want to build on.
- It needs to be sold to a housebuilder, and to gain planning consent.
- This is where land promoters come in.



What do land promoters do?

- Make financial deals with landowners
  - May share the uplift with them if successful.
  - Or may purchase “options”, where farmer gets money now, but land promotor retains the option to purchase the land for an agreed price at a future date.



What do land promoters do?

- Make financial deals with landowners (eg farmers):
  - May share the uplift with them if successful.
  - Or may purchase “options”, where farmer gets money now, but land promotor retains the option to purchase the land for a set price at a future date.
- Promote the site to be allocated for housing in the Local Plan
- Gain planning permission for the site.
- Sell it on to a housebuilder as an “shovel-ready” site.



Why do we need Land Promoters? Are they parasites?

Around 40% of large sites are taken forward by land promoters.

- It takes money and expertise to get planning permission – farmers may not be set up to do this.
- There is a lot of risk involved – some sites may never receive permission.



Why land promotors capture some of the available land value uplift:

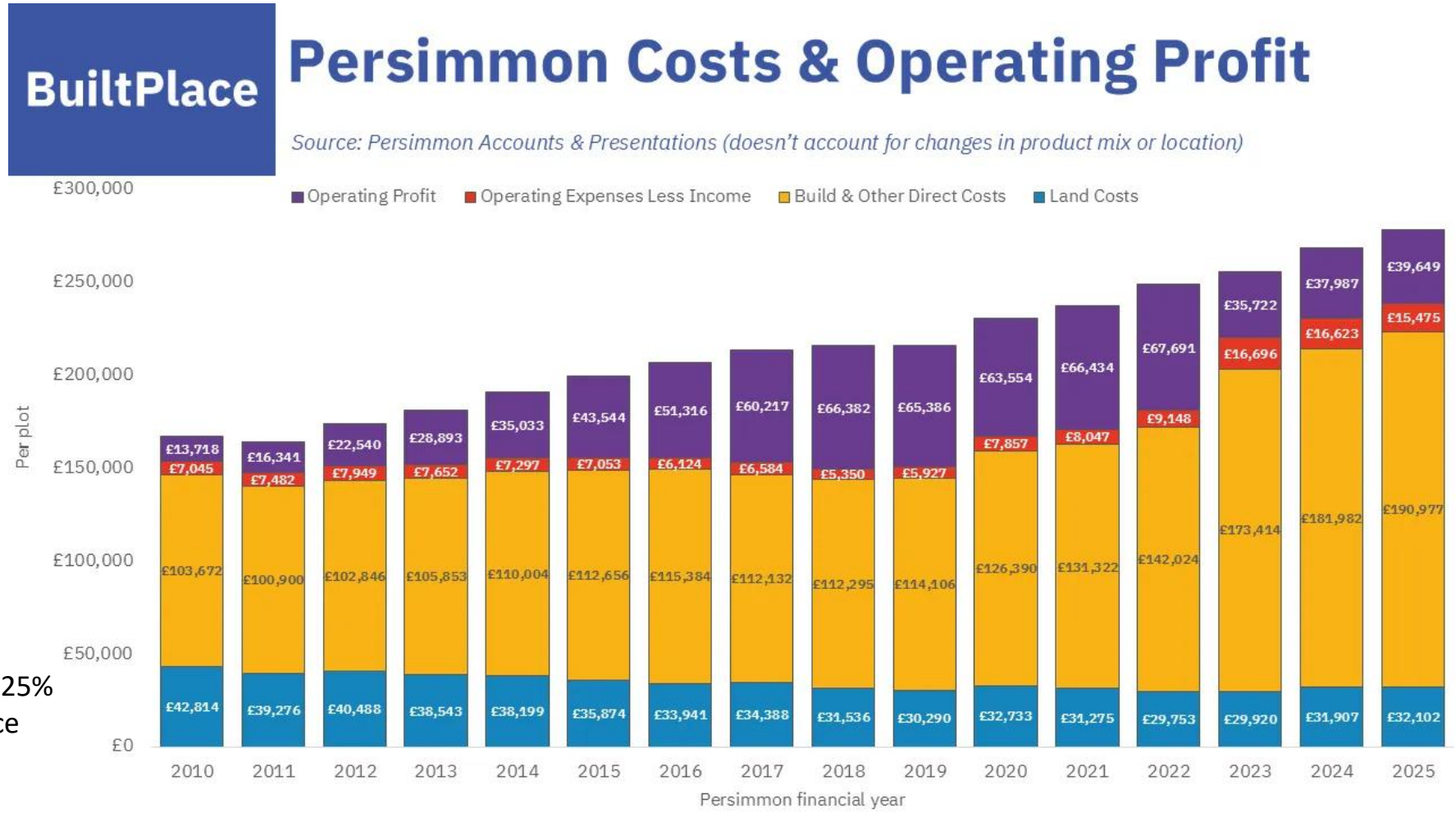
- Risk is priced in – needs to be a good return on successful sites to cover losses on unsuccessful ones.
- The more uncertainty there is in our planning system, the more role there is for land promoters.



Can’t we just CPO the land and capture all the value?

- Councils have powers to use Compulsory Purchase Orders to buy land. They do use these, but usually for individual buildings and complex urban sites with multiple owners. But it is:
  - Slow
  - Expensive
  - Legally complex - must be for public good and requires seller to be unwilling.
- It is not the way that large scale greenfield developments happen.

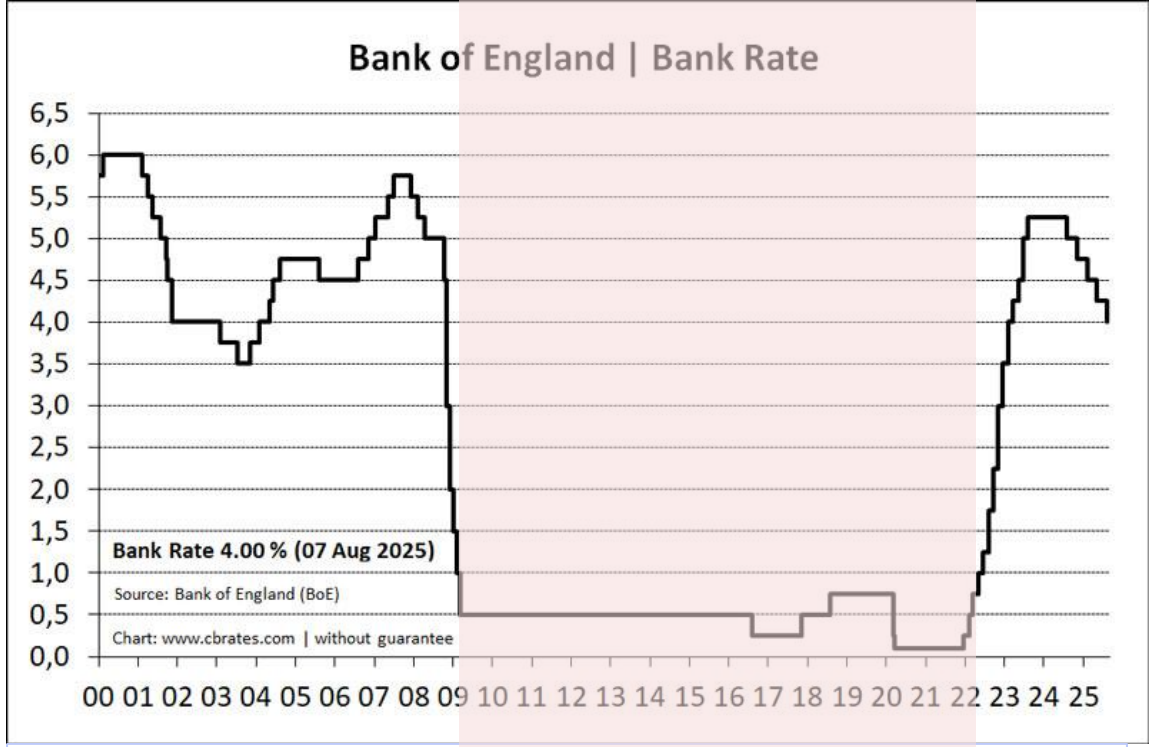
- There also may not be so much land value left:

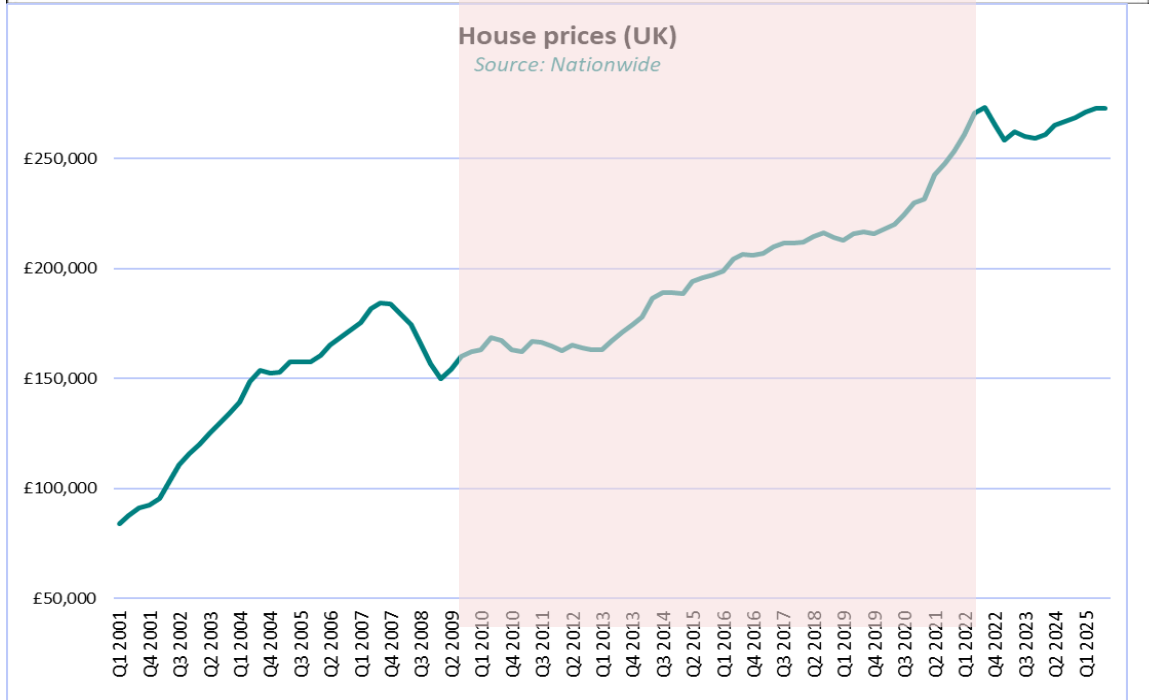


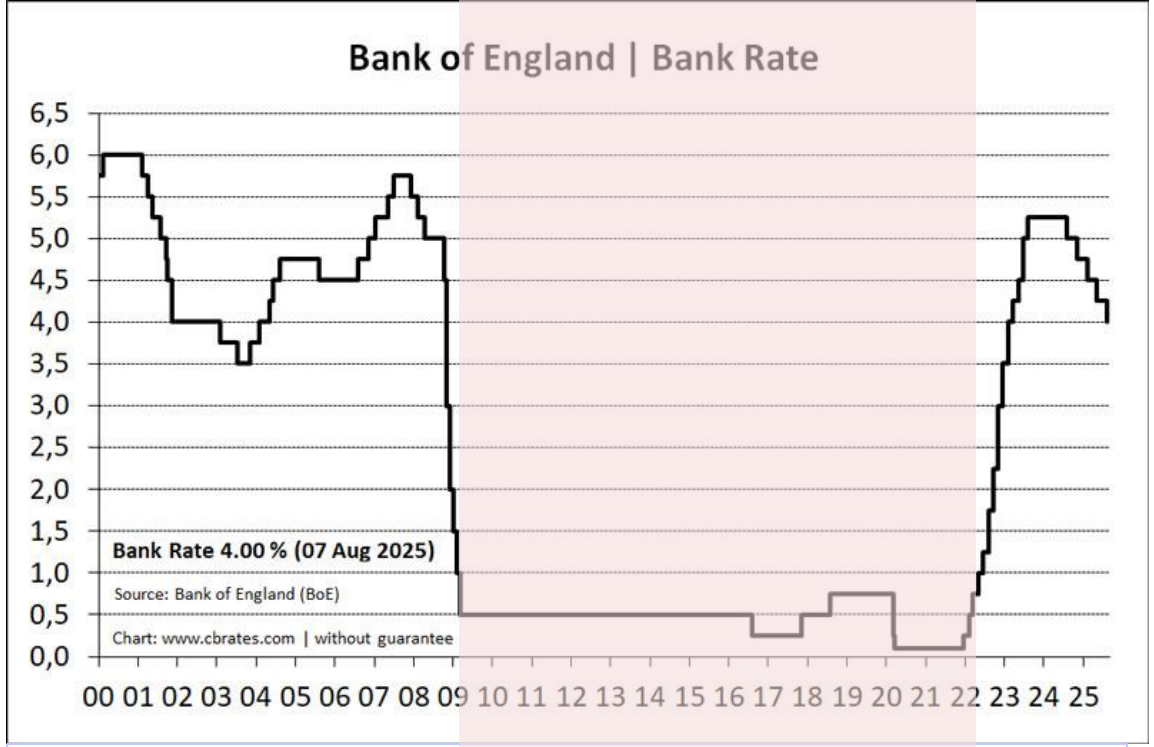
Land price > 25% of house price

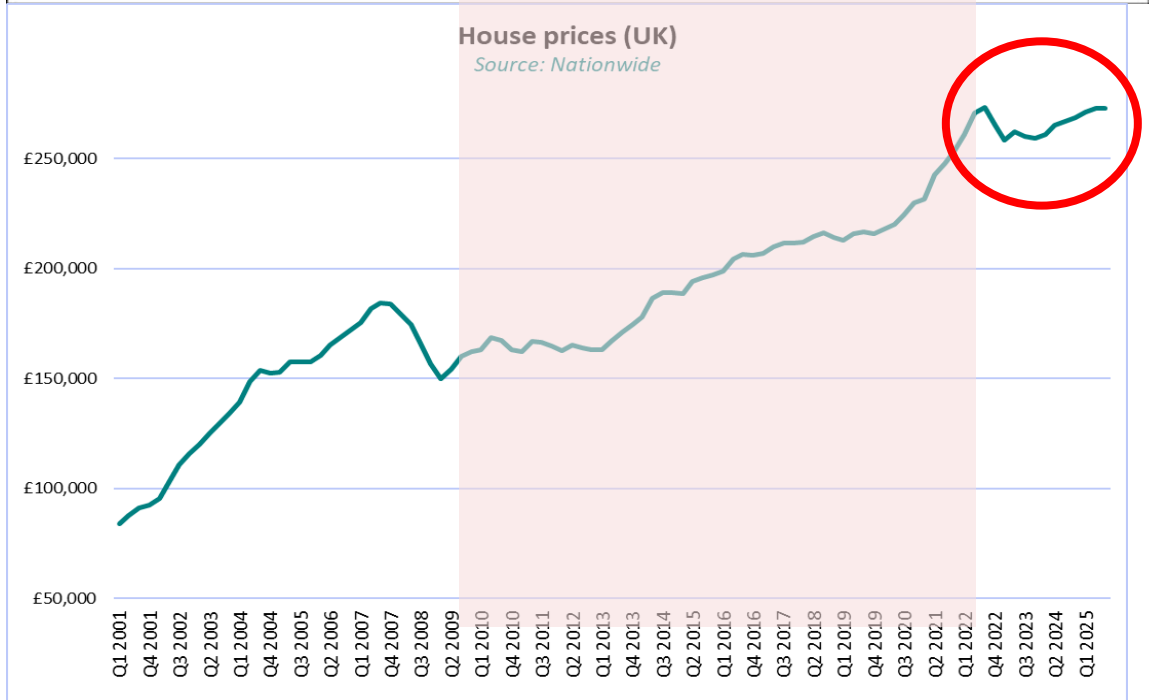
Land price < 12% of house price

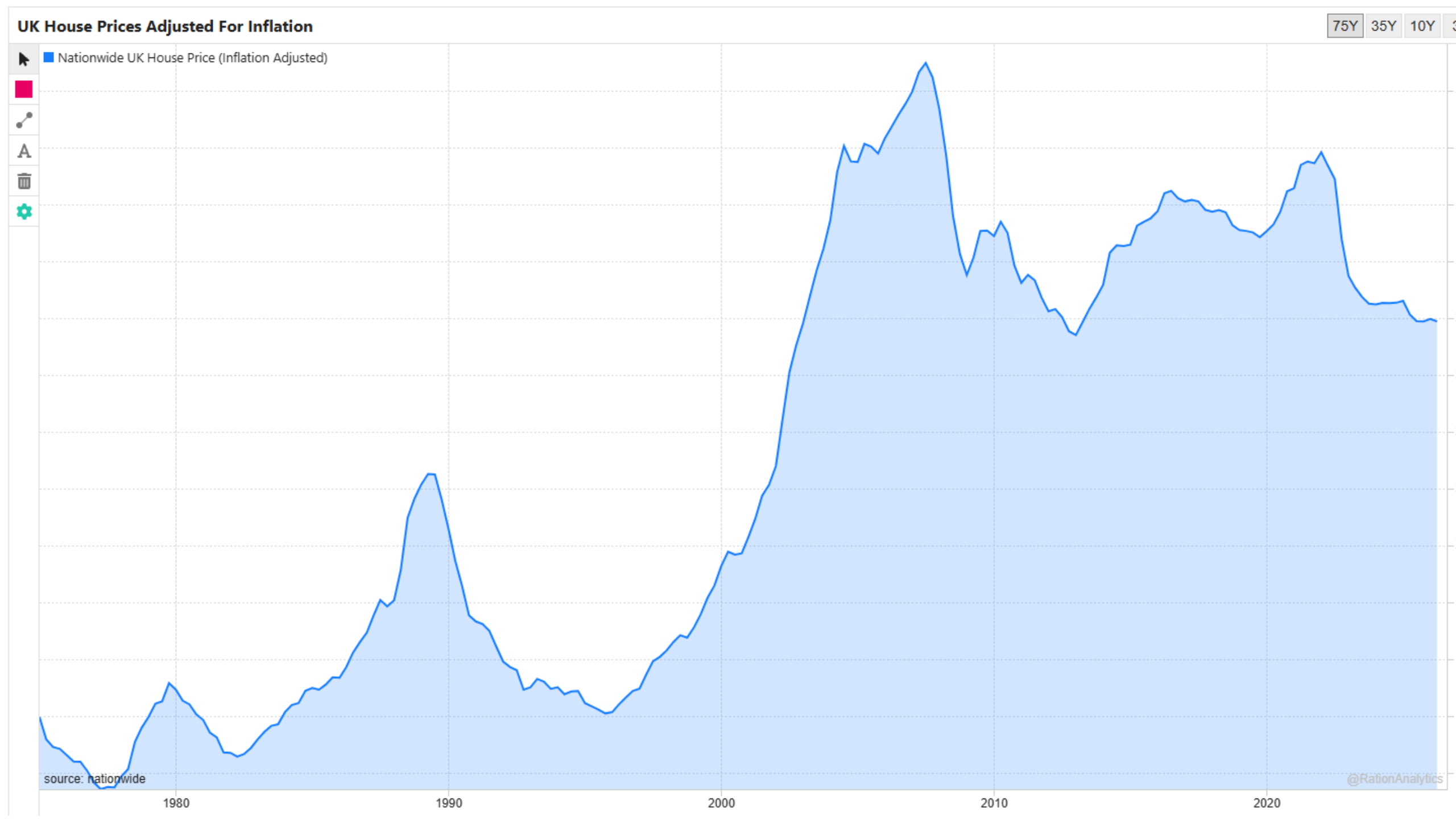
What's causing this?






Bank of England | Bank Rate
6,5
6,0
5,5
5,0
4,5
4,0
3,5
3,0
2,5
2,0
1,5
1,0
0,5
0,0
Bank Rate 4.00 % (07 Aug 2025)
Source: Bank of England (BoE)
Chart: www.cbrates.com | without guarantee
00 01 02 03 04 05 06 07 08 09 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25


House prices (UK)
Source: Nationwide
£250,000
£200,000
£150,000
£100,000
£50,000
Q1 2001
Q4 2001
Q3 2002
Q2 2003
Q1 2004
Q4 2004
Q3 2005
Q2 2006
Q1 2007
Q4 2007
Q3 2008
Q2 2009
Q1 2010
Q4 2010
Q3 2011
Q2 2012
Q1 2013
Q4 2013
Q3 2014
Q2 2015
Q1 2016
Q4 2016
Q3 2017
Q2 2018
Q1 2019
Q4 2019
Q3 2020
Q2 2021
Q1 2022
Q4 2022
Q3 2023
Q2 2024
Q1 2025


UK House Prices Adjusted For Inflation
75Y
35Y
10Y
Nationwide UK House Price (Inflation Adjusted)
source: nationwide
@RationAnalytics
1980
1990
2000
2010
2020

When house prices kept rising, we got very good at taxing land value:

- **Taxes and levies** (Community Infrastructure Levy, etc)
- Provision of **infrastructure** (schools, GPs, grid upgrades, etc) for the wider area



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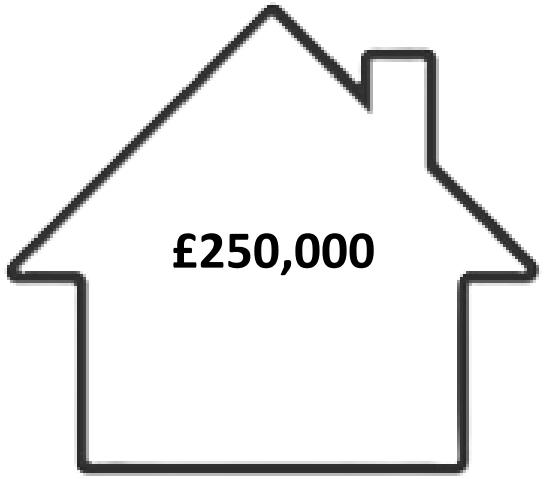
- **Taxes and levies** (Community Infrastructure Levy, etc)
- Provision of **infrastructure** (schools, GPs, grid upgrades, etc) for the wider area
- **Biodiversity Net Gain** (improve biodiversity by 10%, or pay others to do so elsewhere)
- Tighter **building standards** to reduce energy and water use or include bike parking – for environmental benefit.

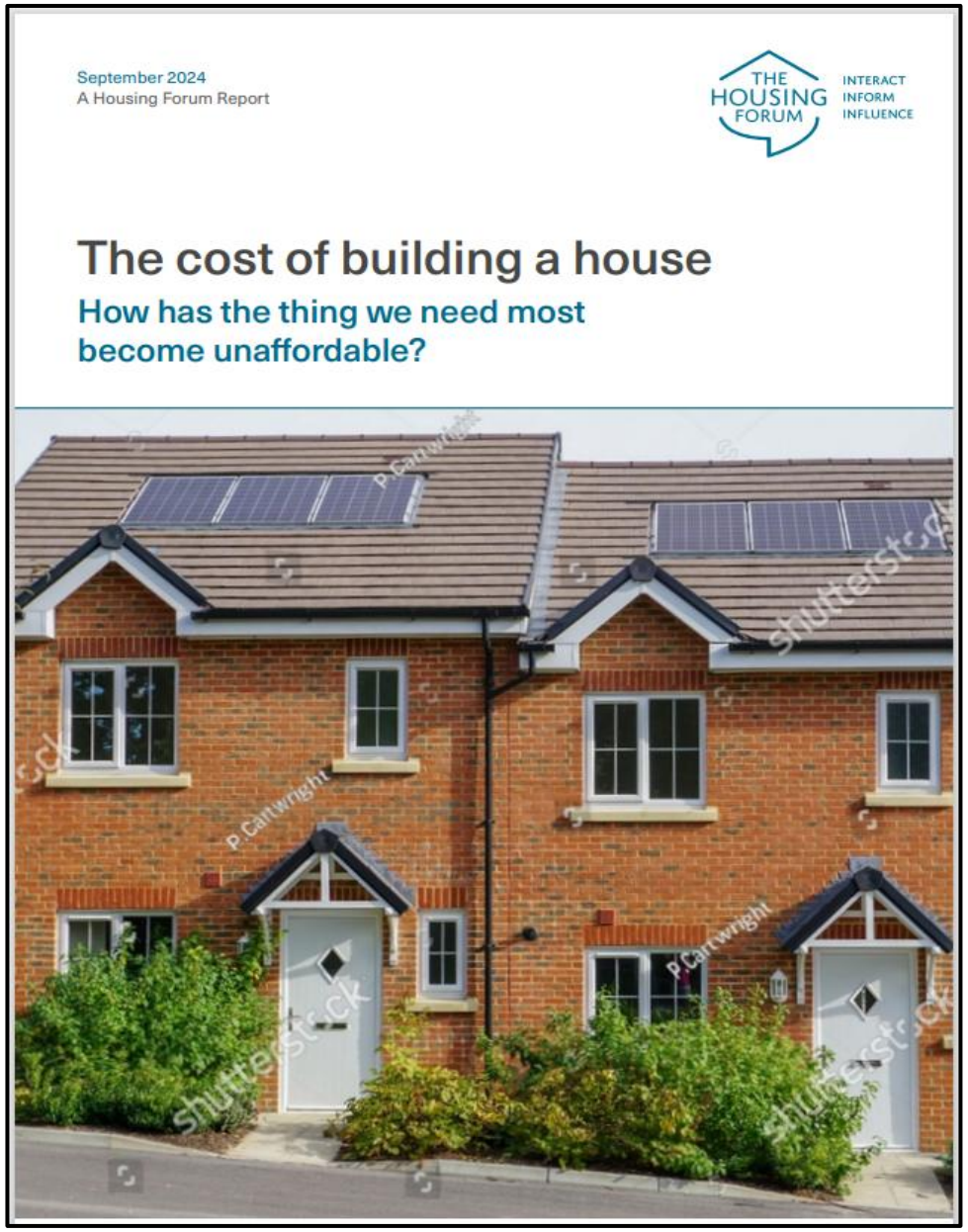


Meanwhile….

a) Construction costs rose by around 50% between 2022 and 2024.

- It costs around **£250k** to build an average-sized 3 bedroom semi.





A perfect storm?

Construction costs up

House prices flat/falling

Unco-ordinated efforts by different Government departments, plus local and regional Government - all seeking to plug budget shortfalls by capturing land value uplift.

The result?





Source: MHCLG indicators of new supply

What would help?

- Increasing certainty within the planning system (up to date Local Plans, policy stability)
- Bigger role for the state in land assembly? This can work with the right skills and resources – eg Meridian Water in Enfield.



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- Recognition that land value capture isn't the answer to everything:
  - Subsidy if we want to build on challenging brownfield sites, improve infrastructure or build social housing.



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- Increasing certainty within the planning system (up to date Local Plans, policy stability)
- Bigger role for the state in land assembly? This can work with the right skills and resources – eg Meridian Water. State can de-risk
- Recognition that land value capture isn't the answer to everything:
  - Subsidy if we want to build on challenging brownfield sites and also provide infrastructure.
  - Compromises on other nice-to-haves (bike storage, biodiversity increases, etc)? These were introduced in the period of fast-rising prices – now that the market is correcting they may not be affordable. But politically, this is *hard.*

- Taxing land value uplift isn’t easy – and we’ve been trying for decades.
- If we get it wrong, housebuilding becomes unviable, firms go bust and homes do not get built.

